

May 25, 2026 08:58 AM GMT

Investor Presentation | Japan

Mid Small Cap/Manufacturer: Tech Monthly May 2026

MORGAN STANLEY MUFG SECURITIES CO., LTD.+

Yoshihito Hasegawa

Equity Analyst

Yoshihito.Hasegawa@morganstanleymufg.com

+81 3 6836-8910



MID SMALL CAP/MANUFACTURER

Japan
Industry View

In-Line

Morgan Stanley does and seeks to do business with companies covered in Morgan Stanley Research. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of Morgan Stanley Research. Investors should consider Morgan Stanley Research as only a single factor in making their investment decision.

For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

+ = Analysts employed by non-U.S. affiliates are not registered with FINRA, may not be associated persons of the member and may not be subject to FINRA restrictions on communications with a subject company, public appearances and trading securities held by a research analyst account.

Agenda

Small-cap perspective in tech-related subindustries

Stock prices of semiconductor-related companies

Orders and sales trends at semiconductor-related companies

This month's overview and noteworthy themes

Coverage list

View on mid/small caps in tech subindustries

SPE-related

- For component-related names benefiting from WFE growth, growth rates are widening as inventory adjustments end and demand for advance orders emerges.
- In test-related areas such as testers, probers, and probe cards, demand is being created by both higher volumes of AI-related devices and the increase in test items associated with performance improvements.
- Demand for probe cards for memory is increasing not only for HBM and general purpose DRAM, but also for NAND.
- For probers, improving high precision temperature control functions and increasing supply capacity create opportunities to win orders.
- Semiconductor capex in China remains strong, and the degree of penetration into the China supply chain is becoming a differentiator in terms of earnings contributions.

Semi materials-related

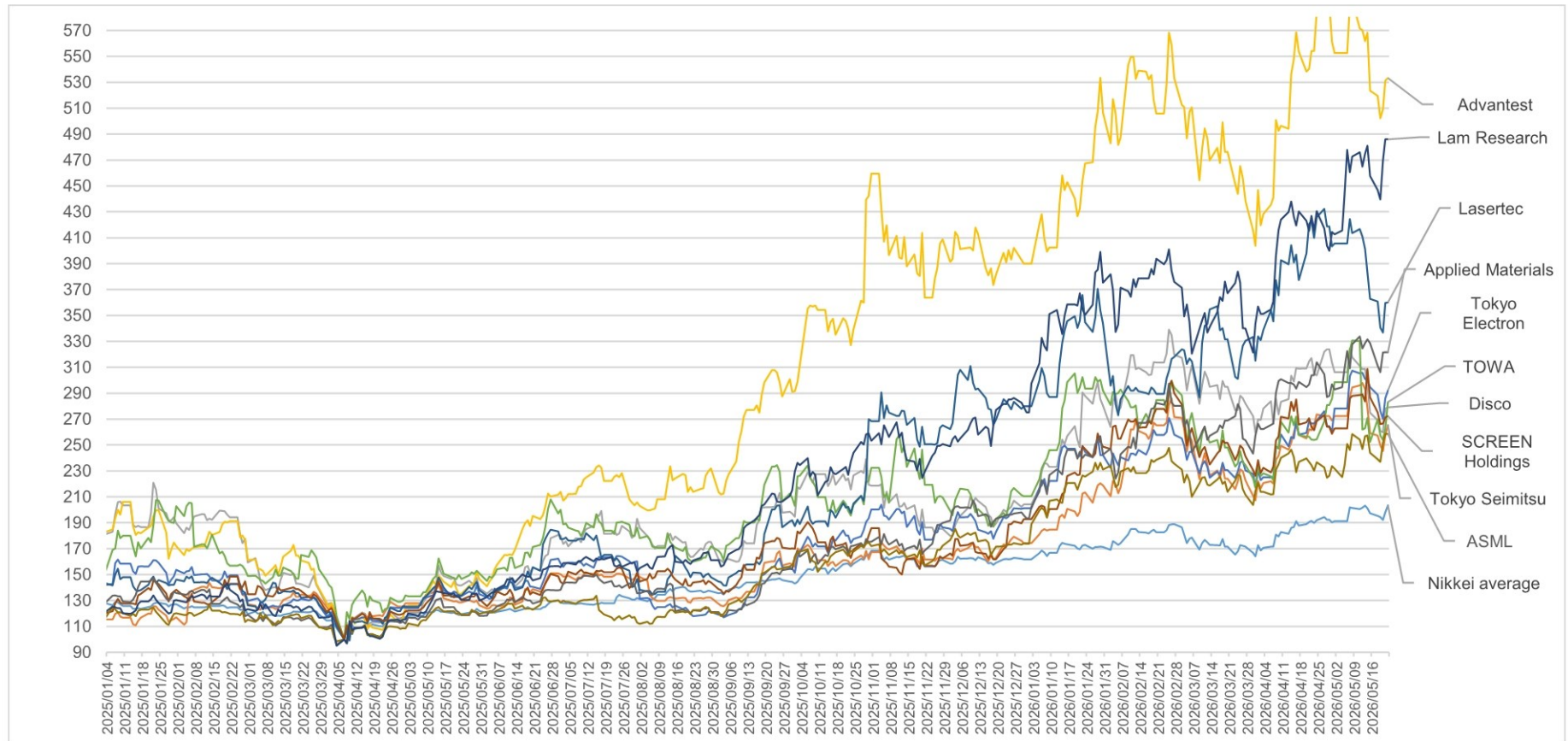
- Procurement risk related to the Middle East has eased, but high prices and delays in price pass-throughs remain risks.
- Low CTE and low dielectric materials driven by AI-related demand. Compared with quartz glass, glass cloth has inferior performance, but when combined with resin it can differentiate through CCL performance and lower processing difficulty. Low CTE glass has a technological barrier in terms of the difficulty of yarn production.
- Capacity expansion by materials companies is aimed in part at meeting demand around 2030. From land acquisition to plant construction and equipment installation, it takes at least two years to begin mass production.
- Demand for front-end materials such as photoresists, CMP slurry, and wiring related materials remains firm.
- In advanced packaging, increasing size, multilayering, and higher density are growth drivers, beyond mere volume expansion

Renewed focus on strength in data center-related demand

Device-related

- Power equipment related: Demand for battery storage systems continues, and interest in transformers for private sector demand is increasing further.
- Computers: Demand related to data centers remains strong, mainly AI related. We will monitor tech developments such as vertical power delivery.
- Smartphones & PCs: We're cautious over potential demand weakness and lower production volumes triggered by rising memory prices.
- Home appliances & consumer electronics: Demand stagnation is built into company plans, reflecting factors such as inflation.
- Industrial equipment & automotive: Semiconductor- and defense-related areas are promising. In automotive, watch demand changes stemming from differences in customer mix.

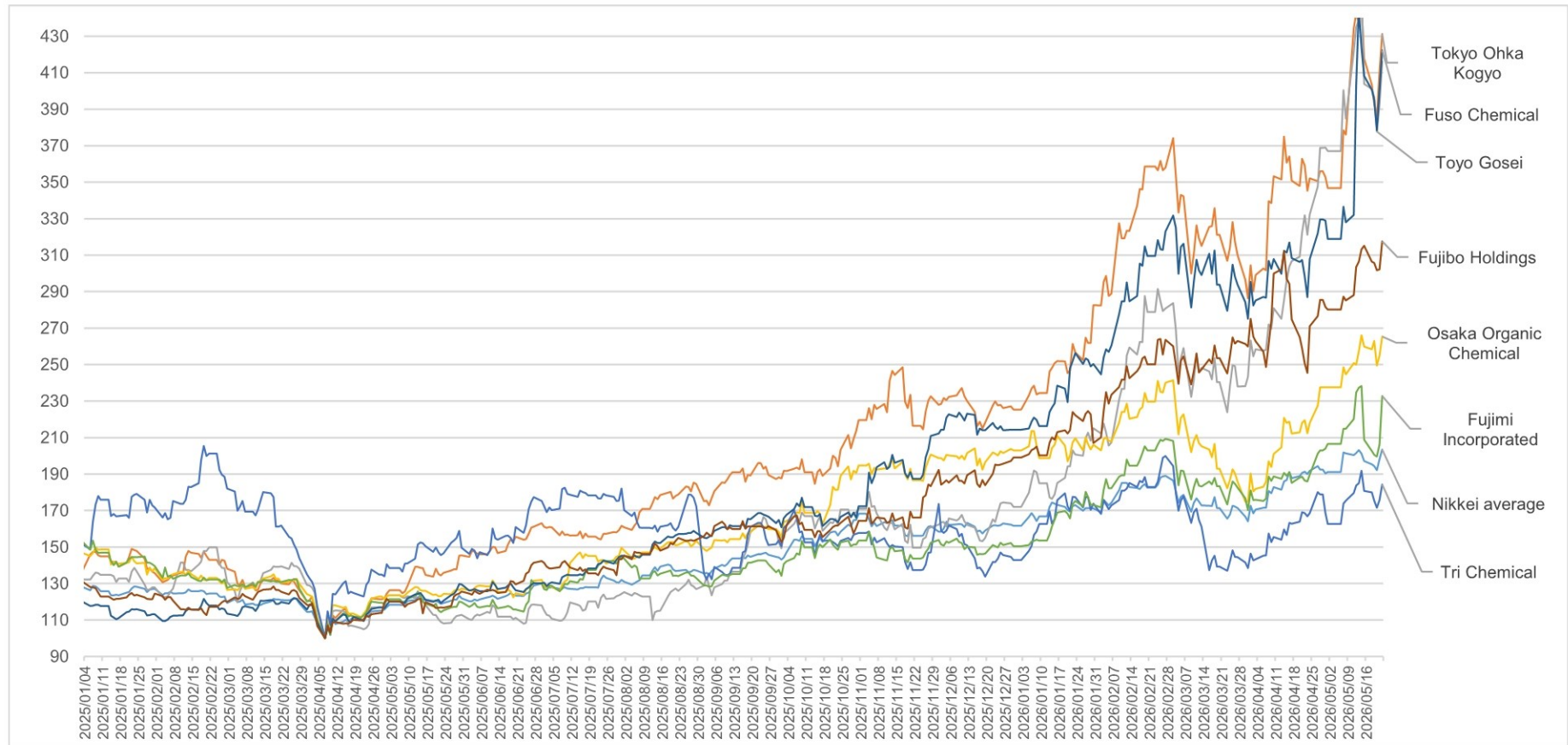
Stock price trends of semiconductor equipment-related companies



Source: Bloomberg, Morgan Stanley Research

Note: Apr 7, 2025= 100

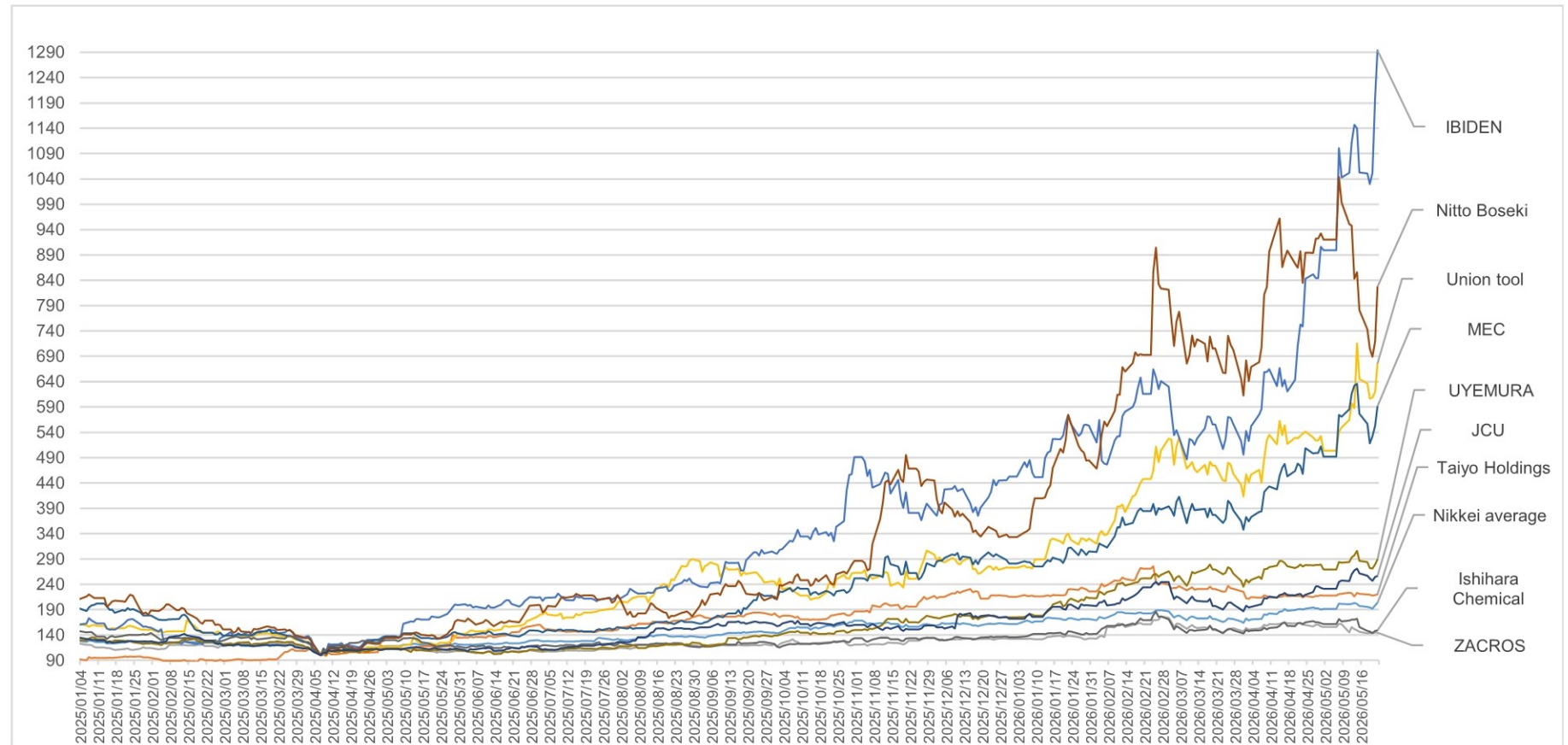
Stock price trends of semiconductor equipment-related companies



Source: Bloomberg, Morgan Stanley Research

Note: Apr 7, 2025= 100

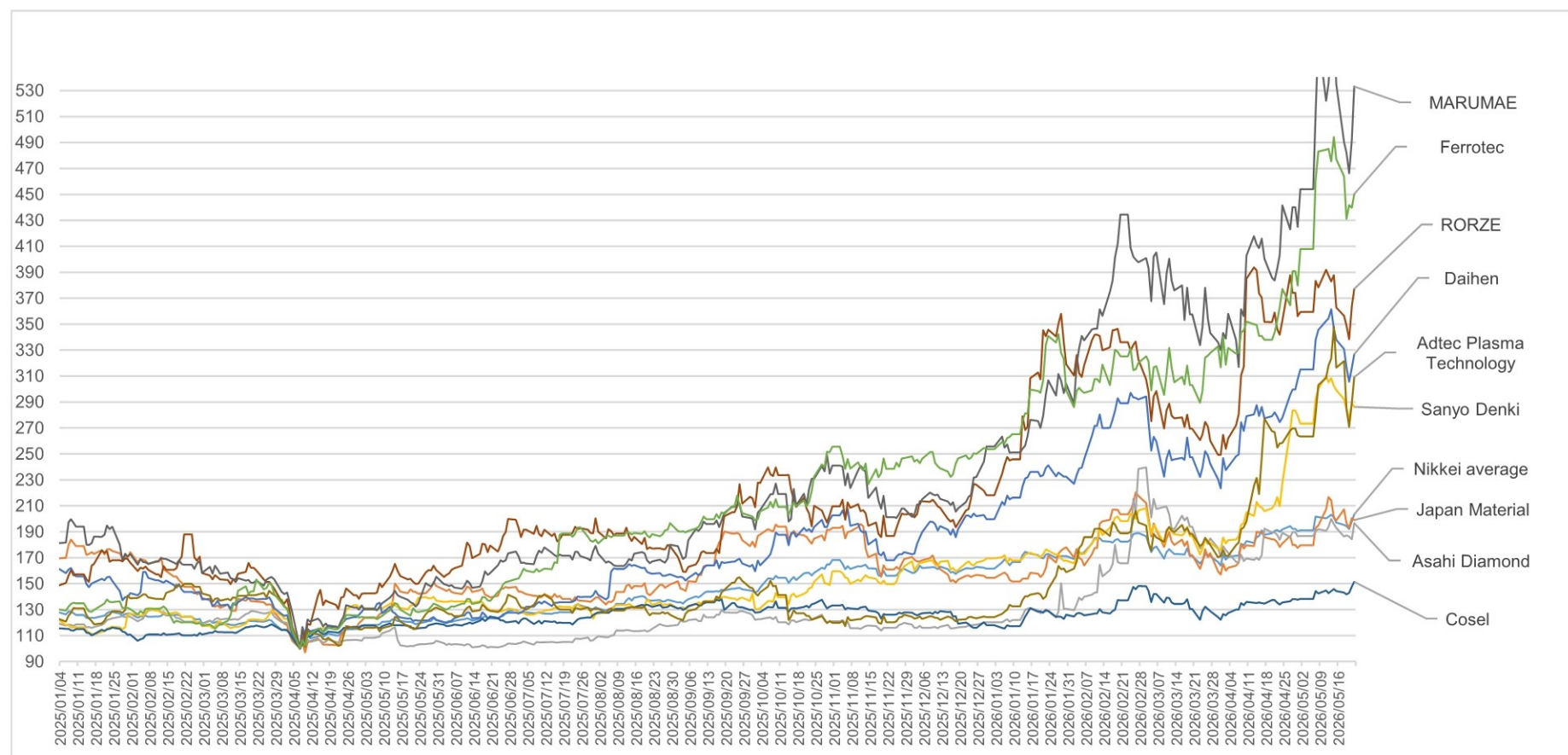
Stock price trends of companies related to post-semiconductor processes



Source: Bloomberg, Morgan Stanley Research

Note: Apr 7, 2025= 100

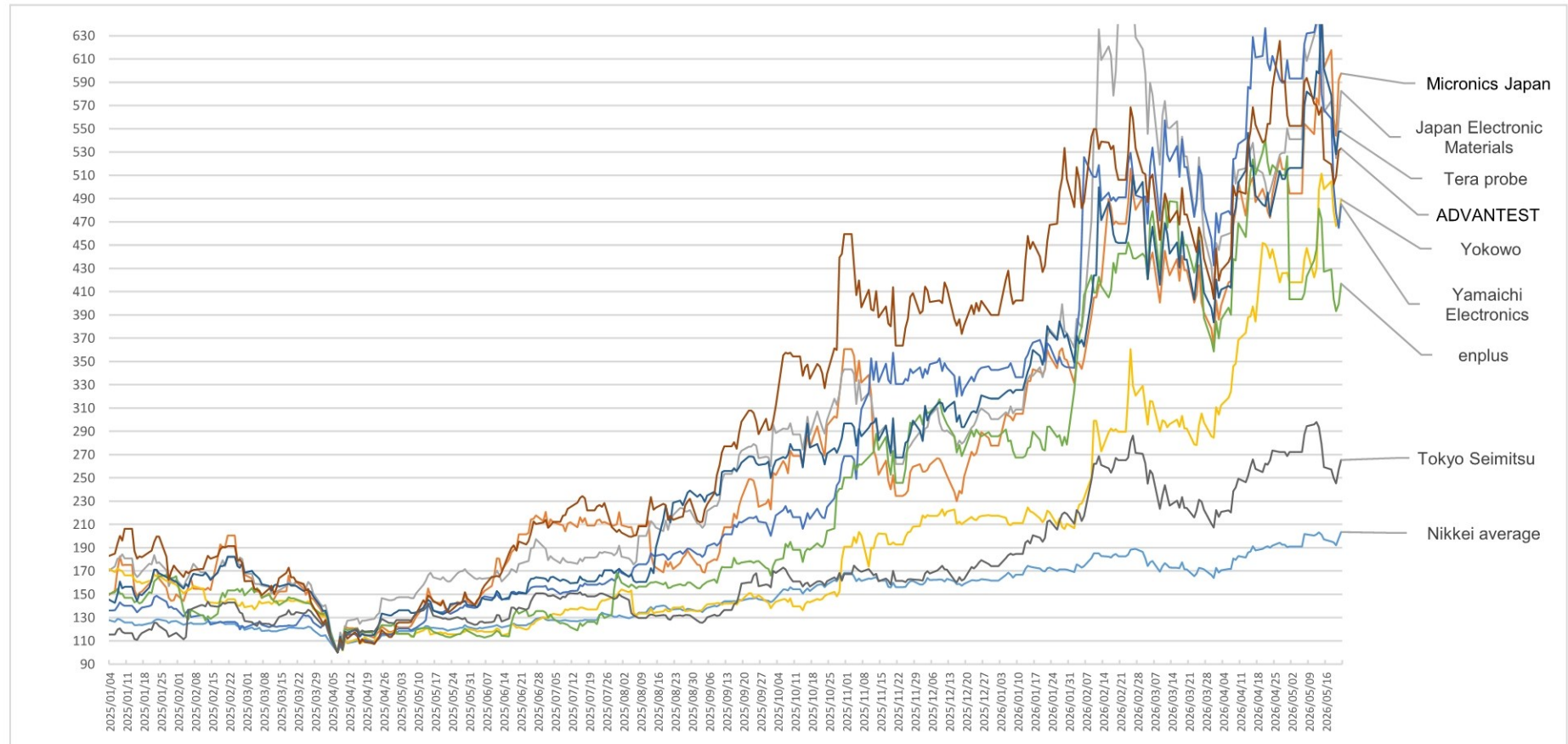
Stock price trends of semiconductor parts suppliers



Source: Bloomberg, Morgan Stanley Research

Note: Apr 7, 2025= 100

Stock price trends of semiconductor test companies



Source: Bloomberg, Morgan Stanley Research

Note: Apr 7, 2025= 100

Pre-process semiconductor related

	1-3/21	4-6/21	7-9/21	10-12/21	1-3/22	4-6/22	7-9/22	10-12/22	1-3/23	4-6/23	7-9/23	10-12/23	1-3/24	4-6/24	7-9/24	10-12/24	1-3/25	4-6/25	7-9/25	10-12/25	1-3/26
	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q
Pre-process Semiconductor related (YoY)																					
ADEKA: Chemical products division (information, electronics) sales	2%	13%	10%	4%	2%	7%	-6%	-7%	5%	2%	11%	8%	7%	10%	11%	11%	-9%	-15%	-6%	9%	39%
Tri Chemical Laboratories: Sales	13%	10%	25%	24%	20%	24%	14%	20%	3%	-30%	-28%	-17%	1%	96%	98%	92%	101%	24%	10%	1%	
Toyo Gosei: Photosensitive materials division sales (actual)	19%	38%	25%	25%	28%	9%	8%	-4%	-6%	-12%	-10%	-9%	3%	9%	33%	45%	10%	1%	9%	9%	23%
Osaka Organic Chemical Industry: Electronic materials division sales (retroactive)	27%	14%	6%	16%	19%	-2%	8%	5%	-16%	-9%	-10%	-28%	-4%	7%	7%	45%	20%	15%	21%	9%	22%
Hokko Chemical Industry: Fine chemicals (Electronic materials parent sales)					34%	11%	37%	3%	2%	-8%	-12%	-5%	14%	16%	33%	58%	-3%	29%	15%	-19%	-28%
Japan Material: Operational division sales	2%	18%	-5%	13%	20%	19%	45%	10%	12%	-10%	-11%	17%	19%	35%	29%	7%	24%	-4%	-2%	9%	-3%
Kanto Denka Kogyo: Precision chemicals sales	13%	16%	14%	30%	25%	40%	36%	25%	24%	-13%	-1%	-32%	-31%	-4%	-18%	9%	5%	-3%	-1%	6%	22%
Fujimi Incorporated: CMP Sales	10%	19%	16%	28%	21%	28%	39%	8%	0%	-17%	-19%	1%	24%	16%	16%	17%	0%	12%	10%	22%	27%
Fujibo Holdings: Abrasives sales	16%	4%	22%	21%	13%	15%	17%	-11%	-20%	-33%	-32%	5%	31%	66%	56%	38%	25%	13%	20%	13%	21%
Fuso Chemical: Electronic materials & functional chemicalssales	7%	23%	15%	29%	50%	45%	54%	20%	-3%	-37%	-36%	-8%	9%	57%	59%	24%	10%	21%	27%	32%	20%
RS Technologies: Reclaimed Wafers sales	6%	8%	20%	9%	26%	36%	51%	51%	32%	10%	9%	9%	8%	20%	17%	19%	26%	16%	12%	10%	6%
Prime wafer: Shipping area	14%	12%	16%	14%	10%	5%	3%	-2%	-11%	-10%	-20%	-17%	-13%	-9%	7%	6%	2%	10%	3%	7%	15%
Pre-process Semiconductor related (QoQ)																					
ADEKA: Chemical products division (information, electronics) sales	-7%	0%	8%	4%	-9%	5%	-5%	3%	3%	2%	3%	0%	2%	5%	3%		-16%	-3%	15%	15%	7%
Tri Chemical Laboratories: Sales	5%	7%	14%	-4%	2%	10%	5%	2%	-12%	-26%	8%	17%	8%	44%	9%	13%	13%	-12%	-3%	4%	
Toyo Gosei: Photosensitive materials division sales (actual)	9%	12%	-10%	13%	12%	-4%	-10%	-1%	10%	-11%	-8%	0%	25%	-6%	12%	9%	-4%	-14%	21%	10%	8%
Osaka Organic Chemical Industry: Electronic materials division sales (retroactive)	8%	5%	-7%	9%	12%	-14%	2%	6%	-18%	3%	3%	-18%	11%	15%	3%	10%	-8%	10%	9%	-1%	3%
Hokko Chemical Industry: Fine chemicals (Electronic materials parent sales)		27%	-21%	34%	0%	5%	-3%	1%	-1%	-5%	-7%	8%	19%	-4%	7%	29%	-27%	28%	-4%	-9%	-35%
Japan Material: Operational division sales	-7%	16%	-6%	11%	-1%	15%	14%	-15%	1%	-8%	12%	12%	2%	5%	7%	-7%	18%	-19%	9%	4%	6%
Kanto Denka Kogyo: Precision chemicals sales	10%	-6%	10%	14%	5%	6%	7%	5%	5%	-26%	21%	-28%	7%	3%	3%	-4%	3%	-5%	5%	3%	19%
Fujimi Incorporated: CMP Sales	3%	18%	-2%	8%	-3%	25%	6%	-17%	-9%	4%	3%	4%	11%	-3%	4%	4%	-5%	8%	2%	15%	-1%
Fujibo Holdings: Abrasives sales	2%	8%	2%	7%	-4%	9%	4%	-19%	-14%	-8%	5%	27%	7%	16%	-1%	12%	-3%	5%	5%	5%	4%
Fuso Chemical: Electronic materials & functional chemicalssales	-5%	17%	-8%	26%	10%	13%	-2%	-2%	-11%	-26%	-1%	41%	6%	7%	0%	10%	-6%	17%	5%	14%	-14%
RS Technologies: Reclaimed Wafers sales	-4%	11%	1%	2%	11%	19%	13%	1%	-3%	0%	11%	1%	-4%	11%	8%	4%	2%	2%	4%	1%	-1%
Prime wafer: Shipping area	4%	6%	3%	0%	1%	1%	1%	-4%	-9%	2%	-10%	0%	-5%	7%	6%	-1%	-9%	15%	0%	3%	-3%

Source: Company data, SEMI, Morgan Stanley Research

Note: 4Q indicates Nov-Jan for Tri Chemical, Sep-Nov for Osaka Organic Chemical and Hokko Chemical

Post-process semiconductor related

	1-3/21	4-6/21	7-9/21	10-12/21	1-3/22	4-6/22	7-9/22	10-12/22	1-3/23	4-6/23	7-9/23	10-12/23	1-3/24	4-6/24	7-9/24	10-12/24	1-3/25	4-6/25	7-9/25	10-12/25	1-3/26
	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q
Post-process Semiconductor related (YoY)																					
AJINOMOTO: Functional materials sales	25%	25%	39%	38%	34%	29%	32%	19%	-15%	-22%	-25%	-17%	20%	28%	32%	26%	19%	24%	18%	42%	42%
Taiyo Holdings: PKG sales	14%	26%	43%	48%	48%	44%	31%	-12%	-38%	-24%	-14%	34%	74%	45%	16%	-4%	-2%	5%	31%	50%	48%
Doosan : Electro-Materials Sales	4%	20%	4%	21%	20%	2%	5%	-10%	-31%	-17%	-9%	2%	10%	12%	13%	58%	116%	103%	76%	66%	53%
EMC: Sales	35%	32%	44%	35%	24%	4%	-8%	-13%	-26%	-8%	20%	45%	75%	68%	47%	44%	68%	46%	44%	34%	52%
Baotek : Sales	6%	-1%	-1%	-16%	-9%	3%	-19%	6%	-17%	-33%	8%	16%	55%	83%	79%	35%	19%	30%	4%	13%	22%
Nitto Boseki: Functional materials sales	-3%	1%	22%	12%	17%	25%	18%	-4%	-34%	-22%	1%	46%	90%	89%	44%	41%	40%	27%	29%	24%	17%
ZACROS (Fujimori Kogyo): Information recording materials sales	32%	19%	4%	41%	12%	22%	12%	-10%	-47%	-49%	-28%	-15%	57%	76%	21%	51%	28%	8%	32%	13%	19%
Union Tool: Drill sales (quantity, million)	18%	2%	26%	-11%	5%	-11%	-30%	-16%	-37%	-25%	-13%	0%	21%	25%	21%	21%	29%	29%	26%	30%	
MEC: CZ sales	26%	32%	48%	35%	26%	33%	20%	10%	-32%	-21%	-17%	4%	58%	36%	29%	12%	9%	14%	26%	29%	41%
JCU: Chemicals for Via Filling sales	-1%	19%	15%	16%	20%	11%	11%	0%	-11%	-28%	-20%	-1%	19%	36%	38%	19%	12%	20%	14%	15%	17%
Mitsui High-tec: Electronic components sales	34%	44%	58%	56%	43%	28%	19%	-8%	-26%	-19%	-20%	-10%	4%	-3%	-6%	-4%	2%	3%	9%	17%	
Encapsulant shipment volume: MS estimates (ton/monthly)	36%	28%	32%	14%	8%	5%	-11%	-10%	-16%	-6%	3%	4%	6%	1%	9%	7%	6%	13%	9%	10%	9%
Mitsui Mining & Smelting: MicroThin (Sales volume index for PKG)	22%	26%	31%	26%	20%	10%	-14%	-46%	-77%	-28%	-3%	60%	298%	9%	29%	3%	-13%	37%	34%	57%	92%
Post-process Semiconductor related (QoQ)																					
AJINOMOTO: Functional materials sales	-3%	16%	13%	9%	-5%	11%	15%	-2%	-32%	2%	11%	8%	-1%	8%	14%	3%	-7%	13%	9%	24%	-7%
Taiyo Holdings: PKG sales	4%	19%	15%	3%	5%	15%	5%	-31%	-26%	40%	19%	8%	-3%	16%	-4%	-11%	-1%	24%	20%	2%	-3%
Doosan : Electro-Materials Sales	7%	20%	-6%	0%	6%	3%	-4%	-14%	-18%	24%	5%	-4%	-12%	26%	6%	34%	20%	18%	-8%	27%	11%
EMC : Sales	6%	19%	13%	-6%	-2%	1%	-1%	-10%	-17%	25%	29%	8%	0%	20%	13%	6%	17%	4%	12%	-1%	33%
Baotek : Sales	-3%	-3%	-2%	-9%	5%	10%	-23%	20%	-18%	-11%	25%	28%	10%	5%	22%	-4%	-3%	14%	-3%	5%	5%
Nitto Boseki: Functional materials sales	15%	1%	-2%	-2%	20%	8%	-7%	-21%	-17%	28%	21%	14%	8%	14%	2%	10%	10%	3%	4%	5%	3%
ZACROS (Fujimori Kogyo): Information recording materials sales	26%	1%	1%	9%	0%	11%	-7%	-12%	-42%	8%	31%	3%	7%	21%	-10%	29%	-9%	2%	10%	10%	-4%
Union Tool: Drill sales (quantity, million)	-9%	5%	23%	-24%	7%	-11%	-4%	-9%	-20%	7%	11%	4%	-3%	10%	8%	5%	3%	10%	5%	9%	
MEC: CZ sales	12%	3%	18%	-1%	5%	9%	7%	-10%	-35%	26%	12%	13%	-1%	9%	5%	-1%	-4%	13%	17%	2%	5%
JCU: Chemicals for Via Filling sales	-4%	1%	8%	11%	0%	-7%	7%	0%	-11%	-25%	18%	25%	7%	-14%	20%	8%	1%	-8%	14%	8%	3%
Mitsui High-tec: Electronic components sales	17%	11%	10%	9%	8%	0%	2%	-16%	-14%	10%	0%	-5%	0%	2%	-2%	-3%	5%	3%	3%	4%	
Encapsulant shipment volume: MS estimates (ton/monthly)	7%	3%	8%	-4%	2%	0%	-9%	-3%	-5%	11%	0%	-2%	-3%	6%	8%	-3%	-4%	13%	4%	-3%	-5%
Mitsui Mining & Smelting: MicroThin (Sales volume index for PKG)	12%	26%	-10%	0%	6%	16%	-30%	-37%	-55%	267%	-6%	3%	12%	0%	12%	-18%	-6%	58%	10%	-4%	15%

Source: Company data, SEMI, Morgan Stanley Research

Note: 4Q indicates Nov-Jan for Mitsui High-tec

Semiconductor manufacturing equipment and related products

Semiconductor manufacturing equipments and related products (YoY)	1-3/21	4-6/21	7-9/21	10-12/21	1-3/22	4-6/22	7-9/22	10-12/22	1-3/23	4-6/23	7-9/23	10-12/23	1-3/24	4-6/24	7-9/24	10-12/24	1-3/25	4-6/25	7-9/25	10-12/25	1-3/26
	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q
AI MECHATEC: Semiconductor related sales							-38%	16%	364%	164%	291%	270%	13%	21%	4%	50.6%	63%	103%	118%	83%	172%
Tazmo: SPE orders	242%	63%	292%	157%	26%	22%	16%	52%	-15%	-40%	129%	32%	-80%	210%	-58%	16%	212%	-61%	124%	-52%	797%
Tazmo: SPE sales	-77%	165%	-11%	122%	200%	29%	33%	0%	-58%	-20%	128%	13%	210%	282%	42%	-3%	66%	-6%	61%	82%	3%
SHBAURA MECHATRONICS: Semiconductor manufacturing equipment order volume	52%	20%	-16%	123%	59%	171%	100%	-60%	10%	-32%	-31%	47%	-28%	15%	13%	51.5%	11%	-19%	70%	76%	36%
SHBAURA MECHATRONICS: Semiconductor manufacturing equipment sales	71%	9%	97%	-11%	57%	47%	46%	94%	21%	31%	29%	15%	41%	14%	12%	13.6%	30%	50%	26%	31%	-9%
Tokyo Seimitsu: Semiconductor manufacturing equipments order volume	83%	160%	140%	59%	0%	7%	-34%	-55%	-51%	-43%	-13%	-2%	35%	33%	12%	46%	12%	-3%	42%	-12%	36%
Tokyo Seimitsu: Semiconductor manufacturing equipments sales	59%	47%	38%	60%	27%	-7%	39%	0%	12%	-11%	-18%	-27%	8%	18%	14%	31%	2%	7%	11%	19%	14%
TOYWA: Molding equipment order volume	76%	376%	294%	-3%	-6%	-33%	-50%	-38%	-38%	-8%	59%	61%	45%	10%	-31%	-37%	-22%	-35%	31%	118%	63%
TOYWA: Molding equipment sales	61%	186%	99%	113%	54%	20%	22%	-25%	4%	-43%	-16%	-6%	66%	56%	14%	7%	-42%	-58%	18%	9%	34%
Morionics Japan: Probe card order volume	27%	-9%	42%	-4%	-13%	52%	-12%	33%	-32%	-22%	67%	14%	140%	88%	-2%	62%	32%	-35%	18%	28%	-100%
Morionics Japan: Probe card sales	24%	14%	27%	17%	10%	8%	1%	35%	8%	-24%	-18%	-6%	19%	104%	53%	33%	21%	35%	37%	20%	51%
Japan Electronic Materials: Probe card sales	20%	15%	61%	22%	18%	-11%	-18%	-6%	-13%	-4%	-27%	-31%	1%	21%	26%	23%	67%	9%	43%	71%	-4%
Yamaichi Electronics: Test solution sales	10%	48%	26%	72%	92%	63%	74%	-19%	-25%	-53%	-49%	-16%	-2%	184%	62%	8%	-5%	-16%	-19%	60%	49%
YOKOWO: Circuit testing connector product sales	0%	-16%	49%	72%	43%	82%	66%	2%	-30%	-45%	-60%	-44%	1%	6%	39%	33%	23%	21%	19%	37%	25%
Enplas: Semiconductor sales	-1%	2%	30%	21%	43%	55%	63%	73%	13%	-17%	-33%	-47%	-17%	-2%	-8%	9%	-9%	7%	57%	92%	39%
Tera Probe: Sales	17%	41%	56%	53%	38%	30%	30%	17%	9%	5%	5%	8%	9%	15%	1%	-4%	3%	-2%	17%	33%	38%
Ferrotec Holdings: Sales of semiconductor equipment related products	16%	22%	27%	31%	60%	75%	80%	65%	33%	1%	-11%	5%	-1%	34%	45%	4%	30%	4%	7%	19%	20%
Japan Material: Initial division sales	-16%	-17%	47%	-13%	2%	43%	41%	46%	-9%	4%	-4%	28%	2%	-38%	-54%	-33%	73%	107%	34%	85%	-13%
DAIHEN: Semiconductor related products order volume	3%	54%	128%	37%	54%	59%	-7%	-67%	-62%	-60%	-46%	45%	58%	43%	87%	78%	19%	5%	-2%	26%	90%
DAIHEN: Semiconductor related products sales	12%	12%	26%	32%	24%	5%	49%	25%	36%	-29%	-41%	-39%	-36%	-1%	22%	56%	39%	42%	14%	-3%	-8%
Sanyo Denki: Servo system order volume	85%	144%	96%	47%	17%	-6%	19%	-19%	-37%	-47%	-60%	-50%	-32%	0%	21%	13%	-3%	41%	47%	2%	68%
Sanyo Denki: Servo system sales	44%	80%	46%	28%	11%	2%	18%	22%	16%	3%	-11%	-21%	-19%	-28%	-27%	-35%	-32%	8%	13%	15%	20%
Cosel: Order volume	2%	17%	125%	160%	104%	54%	-15%	-35%	-50%	-64%	-50%	-51%	-27%	-16%	-27%	-3%	-16%	-4%	25%	33%	74%
Cosel: Sales	6%	17%	5%	0%	4%	6%	7%	30%	54%	32%	30%	29%	11%	-1%	-19%	-43%	-36%	-41%	-40%	-6%	-2%
RORZE: Semiconductor related products order volume	63%	33%	168%	242%	65%	111%	38%	-35%	-42%	-49%	-35%	0%	94%	66%	36%	30%	-7%	-1%	-4%	-6%	30%
RORZE: Semiconductor related products sales	1%	53%	55%	73%	101%	49%	62%	52%	9%	-23%	-1%	-7%	21%	92%	19%	22%	9%	5%	8%	-2%	4%
ADTEC Plasma Technology: order volume	4%	44%	134%	227%	37%	47%	102%	-32%	-41%	-55%	-67%	-55%	27%	42%	40%	69%	69%	-37%	-16%	25%	37%
ADTEC Plasma Technology: sales	-11%	16%	16%	93%	84%	48%	60%	1%	-3%	10%	-4%	-18%	-17%	-3%	3%	10%	29%	25%	-27%	-12%	16%
TOCALO: Process order volume of Semiconductor, FPD manufacturing equipment	5%	6%	68%	25%	-23%	25%	-17%	0%	23%	-17%	-13%	-17%	7%	23%	23%	35%	11%	-6%	-6%	18%	50%
TOCALO: Process sales of Semiconductor manufacturing equipment	-33%	15%	18%	16%	24%	19%	27%	16%	-2%	-7%	-18%	-12%	-1%	13%	22%	37%	23%	10%	0%	-8%	10%
MARUMAE: Semiconductor sales	28%	19%	44%	62%	59%	47%	42%	30%	-17%	-53%	-64%	-59%	-45%	39%	65%	97%	120%	52%	43%	0%	16%

Source: Company data, Morgan Stanley Research

Note: 4Q indicates Nov 21-Jan 20 for Cosel, Sep-Nov for RORZE, ADTEC Plasma Technology and MARUMAE

Semiconductor manufacturing equipment and related products

Semiconductor manufacturing equipments and related products (QoQ)	1-3/21 1Q	4-6/21 2Q	7-9/21 3Q	10-12/21 4Q	1-3/22 1Q	4-6/22 2Q	7-9/22 3Q	10-12/22 4Q	1-3/23 1Q	4-6/23 2Q	7-9/23 3Q	10-12/23 4Q	1-3/24 1Q	4-6/24 2Q	7-9/24 3Q	10-12/24 4Q	1-3/25 1Q	4-6/25 2Q	7-9/25 3Q	10-12/25 4Q	1-3/26 1Q
AMECHATEC: Semiconductor related sales				88%	-52%	281%	-82%	250%	94%	117%	-73%	231%	-41%	133%	-77%	379%	-36%	189%	-75%	311%	-7%
Tazmo: SFE orders	108%	6%	2%	14%	2%	3%	-3%	49%	-43%	-28%	273%	-14%	-91%	1004%	-49%	137%	-76%	39%	188%	-50%	342%
Tazmo: SFE sales	-60%	216%	-29%	151%	-46%	35%	-27%	87%	-77%	154%	110%	-7%	-38%	213%	-22%	-36%	7%	77%	34%	-28%	-39%
SHIBAURA MECHATRONICS: Semiconductor manufacturing equipment order volume	13%	-2%	-7%	117%	-19%	67%	-32%	-57%	124%	3%	-30%	-8%	9%	65%	-31%	23%	-20%	20%	44%	27%	-38%
SHIBAURA MECHATRONICS: Semiconductor manufacturing equipment sales	-18%	0%	16%	-6%	44%	-7%	15%	24%	-10%	1%	14%	11%	11%	-19%	12%	13%	27%	-6%	-6%	17%	-12%
Tokyo Seimitsu: Semiconductor manufacturing equipment order volume	24%	-6%	14%	19%	-22%	1%	-30%	-18%	-15%	16%	8%	-8%	17%	15%	-9%	20%	-10%	-1%	32%	-26%	39%
Tokyo Seimitsu: Semiconductor manufacturing equipment sales	54%	-2%	9%	-2%	22%	-28%	62%	-30%	37%	-43%	51%	-38%	102%	-38%	46%	-29%	57%	-35%	52%	-24%	50%
TOWA: Molding equipment order volume	-20%	57%	2%	-25%	-22%	13%	-24%	-8%	-22%	68%	32%	-7%	-29%	27%	-17%	-15%	-13%	6%	67%	41%	-35%
TOWA: Molding equipment sales	28%	46%	-5%	20%	-7%	14%	-4%	-26%	29%	-38%	42%	-17%	126%	-42%	4%	-22%	23%	-58%	192%	-28%	51%
Morionics Japan: Probe card order volume	6%	-25%	28%	-6%	-4%	31%	-26%	43%	-50%	50%	57%	-2%	4%	17%	-19%	62%	-15%	-42%	47%	75%	
Morionics Japan: Probe card sales	-2%	3%	18%	-2%	-8%	1%	11%	31%	-27%	-29%	21%	50%	-7%	21%	-10%	30%	-15%	36%	-9%	15%	6%
Japan Electronic Materials: Probe card sales	4%	-9%	34%	-4%	1%	-31%	23%	10%	-7%	-24%	-6%	3%	37%	-8%	-3%	1%	87%	-40%	27%	21%	4%
Yamaichi Electronics: Test solution sales	0%	49%	11%	4%	12%	27%	18%	-52%	3%	-21%	29%	-20%	19%	131%	-26%	-47%	4%	105%	-29%	6%	-3%
YOKOWO: Circuit testing connector product sales	10%	1%	22%	27%	-9%	29%	10%	-22%	-37%	1%	-19%	8%	14%	6%	7%	3%	5%	5%	5%	19%	-4%
Enplas: Semiconductor sales	11%	7%	1%	1%	31%	16%	6%	8%	-15%	-15%	-14%	-15%	33%	0%	-19%	1%	11%	18%	19%	24%	-20%
Tera Probe: Sales	13%	15%	6%	11%	2%	8%	6%	0%	-5%	4%	7%	2%	-4%	11%	-7%	-3%	3%	6%	11%	11%	7%
Ferrotec Holdings: Sales of semiconductor equipment related products	-5%	9%	12%	13%	16%	20%	15%	4%	-7%	-10%	2%	23%	-13%	23%	10%	-12%	10%	-3%	14%	-2%	11%
Japan Material: Initial division sales	35%	-39%	49%	-29%	59%	-15%	47%	-26%	-1%	-3%	36%	-2%	-21%	-41%	2%	42%	104%	-30%	-34%	96%	-4%
DAIHEN: Semiconductor related products order volume	-8%	25%	5%	14%	3%	29%	-39%	-59%	16%	36%	-17%	11%	27%	23%	8%	6%	-16%	8%	2%	36%	27%
DAIHEN: Semiconductor related products sales	39%	-6%	3%	-2%	31%	-20%	46%	-18%	43%	-58%	21%	-15%	50%	-36%	49%	9%	34%	-35%	20%	-8%	26%
Sanyo Denki: Servo system order volume	36%	14%	-15%	11%	8%	-8%	8%	-24%	-15%	-24%	-18%	-5%	15%		-3%	23%	0%	18%	2%	-15%	64%
Sanyo Denki: Servo system sales	16%	20%	-3%	-5%	1%	10%	12%	-2%	-5%	-2%	-3%	-13%	-2%		-3%	7%	2%	1%	2%	9%	7%
Cosel: Order volume	20%	32%	41%	16%	-6%	0%	-22%	-11%	-28%	-28%	7%	-12%	8%	-17%	-7%	17%	-7%	-5%	22%	24%	22%
Cosel: Sales	-4%	11%	0%	-6%	0%	13%	1%	14%	3%	12%	4%	8%	-12%	0%	-15%	-23%	-1%	-8%	-13%	19%	3%
RORZE: Semiconductor related products order volume	82%	-17%	68%	35%	-12%	6%	10%	-36%	-22%	-6%	40%	-2%	51%	-20%	14%	-6%	7%	-15%	11%	-7%	48%
RORZE: Semiconductor related products sales	5%	38%	5%	14%	22%	2%	14%	8%	-13%	-28%	46%	2%	13%	14%	-9%	3%	2%	10%	-6%	-6%	8%
ADTEC Plasma Technology: order volume	39%	38%	-7%	83%	-42%	48%	28%	-39%	-49%	12%	-7%	-16%	45%	26%	-9%	2%	45%	-53%	22%	51%	59%
ADTEC Plasma Technology: sales	3%	30%	1%	42%	-2%	5%	9%	-10%	-6%	19%	-5%	-23%	-5%	39%	1%	-17%	11%	36%	-42%	0%	46%
TOCALO: Process order volume of Semiconductor, FPD manufacturing equipment	1%	1%	47%	-16%	-38%	63%	-3%	1%	-23%	10%	2%	-4%	0%	26%	2%	5%	-18%	7%	2%	33%	3%
TOCALO: Process sales of Semiconductor manufacturing equipment	4%	10%	-1%	3%	11%	5%	5%	-5%	-6%	-1%	-7%	2%	6%	13%	0%	15%	-5%	1%	-9%	5%	14%
MARUMAE: Semiconductor sales	9%	7%	24%	11%	7%	-1%	20%	2%	-31%	-44%	-9%	17%	-8%	41%	8%	40%	3%	-3%	2%	-2%	19%

Source: Company data, Morgan Stanley Research

Note: 4Q indicates Nov 21-Jan 20 for Cosel, Sep-Nov for RORZE, ADTEC Plasma Technology and MARUMAE

Summary of this month and topics of interest (equipment-related)

Micronics Japan: (1) F12/26 1Q results had revenue at ¥20.9bn and OP at ¥5.65bn (margin 27.0%) → 2Q plan of ¥24.8bn and OP ¥7.25bn (29.3%), 3Q plan of ¥25.9bn and OP ¥9.0bn (34.7%): Margins are likely to improve toward 3Q driven by product mix improvement. (2) F12/26 revenue plan calls for growth significantly higher than +26%: MCJ added “significantly” to its previous guidance of “revenue growth above 26%”. (3) Pace of capacity expansion: MCJ looks to increase at roughly ¥2.0bn per quarter in 2026.

Tokyo Seimitsu: (1) F3/26 results had revenue at ¥166.9bn (+5% YoY; guidance ¥165.0bn) and OP at ¥33.7bn (+16%; ¥32.0bn). 4Q OP margin was 23.8% (semiconductors 26.1%), up 1.4ppt (2.0ppt) YoY, driven by a higher mix of high value-added products. (2) F3/27 guidance has revenue at ¥181.5bn (F3/28 plan is at ¥185.0bn) and OP ¥40.0bn (¥45.0bn), with margins of 22.0% (24.3%), indicating progress toward medium-term targets. (3) Semiconductor equipment 1H order plan is +20% YoY, exceeding revenue growth assumptions (1H +16%, 2H +6%).

TOWA: (1) F3/26 results showed revenue at ¥54.4bn (+2% YoY; guidance ¥54.5bn) and OP ¥6.92bn (-22%; ¥7.0bn), the latter slightly missing the downward revised plan. (2) F3/27 guidance has revenue at ¥64.0bn (1H ¥32.0bn) and OP ¥10.24bn (¥5.12bn), with quarterly order (revenue) assumptions of ¥15.0-17.0bn (¥16.0bn): While demand remains strong for HBM, general memory, and advanced packaging, uncertainty leads to a flat 1H-2H profile. (3) Looking YoY, TOWA assumes revenue growth of ¥10.5bn and OP growth of ¥1.36bn: While higher revenue is expected to contribute, initial costs for WLP equipment will weigh on margins.

Ferrotec: (1) F3/26 results put revenue at ¥288.9bn (+5% YoY; guidance ¥285.0bn) and OP at ¥27.6bn (+14%; ¥30.0bn). 4Q showed revenue of ¥77.3bn (3Q ¥70.7bn) and OP ¥5.72bn (¥7.51bn): Initial mass production costs at the Malaysia plant and valuation losses on solar quartz crucibles led to a miss vs plan. (2) Fiscal year change from F3/27 to F12/26: The company's subsidiaries close books in December, and so the revenue headwind will come from the parent's Jan-Mar sales (~¥5.0bn). (3) Semiconductor-related equipment: Ferrotec assumes +20% growth in the WFE market, with vacuum seals and metal processing (for new equipment assembly) at +38% revenue growth. (4) Thermo modules: Demand led by optical transceivers is likely to drive revenue from ¥30.8bn in F3/26 to ¥40.5bn in F12/26.

Daihen: (1) F3/26 results had revenue at ¥237.8bn (+5% YoY; guidance ¥235.0bn) and OP at ¥18.8bn (+16%; ¥18.5bn). (2) F3/27 plan is for revenue of ¥280.0bn (vs. medium-term plan target of ¥250.0bn) and OP ¥25.0bn (¥25.0bn), OP margin 8.9% (10%): Semiconductor and power equipment contributions should drive profit, while Europe and recently acquired domestic subsidiaries will weigh on margins. (3) Power equipment looks strong, with margin improvement a key focus; improving profitability at subsidiaries remains a challenge..

Japan Material: (1) F3/26 results showed revenue of ¥58.0bn (+10% YoY; guidance ¥57.0bn) and OP ¥14.6bn (+31%; ¥13.0bn). (2) F3/27 guidance is for revenue of ¥61.0bn (+5% YoY) and OP ¥15.5bn (+6%): “Initial” segments are expected to see revenue decline, while “operations” are expected to see growth. Inflation, including higher labor costs, are to be passed through to service pricing to maintain margins.

Summary of this month and topics of interest (materials-related)

Nitto Boseki: (1) F3/26 results had revenue at ¥118.2bn (+8% YoY; guidance ¥120.0bn) and OP ¥20.8bn (+27%; ¥20.0bn). At the segment level, Electronic Materials recorded revenue of ¥61.4bn and OP of ¥19.4bn. (2) F3/27 guidance is for revenue of ¥137.0bn (Electronic Materials ¥77.0bn) and OP of ¥26.0bn (¥26.0bn): T-glass is expected to post earnings growth through volumes and price revisions, while NER glass is expected to absorb headwinds such as foundation reinforcement costs and Middle East risks through volume growth. (3) F3/28 company forecast has revenue at ¥155.0bn and OP at ¥36.0bn: The increase in depreciation of ¥11.6bn in F3/27 and ¥15.0bn in F3/28 is likely to be offset by higher revenue in Electronic Materials.

Toyo Gosei: (1) F3/26 results showed revenue of ¥42.0bn (+9% YoY; guidance ¥41.5bn) and OP of ¥3.67bn (-11%; ¥2.8bn): 4Q revenue was ¥11.5bn (+7% YoY) and OP ¥1.6bn (+28%), with improvement in Photosensitive Materials contributing. (2) F3/27 guidance is for revenue of ¥47.5bn (1H ¥23.0bn, 2H ¥24.5bn) and OP of ¥5.0bn (1H ¥2.7bn, 2H ¥2.3bn): The company assumes a) demand for semiconductor materials will grow, and b) the impact of higher raw material and fuel costs will emerge for Chemicals in 1H and for Photosensitive Materials in 2H. (3) F3/27 guidance is below the medium-term plan (revenue ¥50.0bn, OP ¥8.0bn): Compared with when the plan was formulated, semiconductor growth has been slower and inflation has pressured cost ratios.

MEC: (1) F12/26 1Q revenue was ¥6.13bn (+39% YoY) and OP ¥2.08bn (+90% YoY): Demand was strong, led by the CZ series. (2) F12/26 1H guidance was revised (revenue ¥10.8bn -> ¥12.25bn, OP ¥3.0bn -> ¥4.0bn), as well full-year (revenue ¥22.5bn -> ¥24.5bn, OP ¥6.5bn -> ¥7.6bn): MEC assumes continued strong demand. (3) OP margin was 33.9% in F12/26 1Q, and MEC guides for 31.4% in 2Q, 29.4% in 2H.

Fuso Chemical: (1) F3/26 results showed revenue of ¥76.9bn (+11% YoY; guidance ¥75.5bn) and OP of ¥18.85bn (+16%; ¥17.6bn): Earnings increased despite absorbing a ¥2.6bn rise in depreciation. (2) F3/27 guidance is for revenue of ¥85.8bn (1H ¥43.2bn, 2H ¥42.7bn) and OP of ¥24.3bn (1H ¥11.6bn, 2H ¥12.7bn), marking planned growth of 12% YoY in revenue and 29% in OP: Fuso assumes earnings growth by absorbing a ¥1.8bn increase in depreciation through higher demand and price revisions. (3) The company formulated a medium-term management plan targeting F3/31 revenue of ¥120.0bn, OP of ¥36.0bn, and EBITDA of ¥56.7bn: It expects OP to rise from ¥5.3bn to ¥7.5bn in Life and from ¥15.9bn to ¥32.0bn in Electronic Materials between F3/26 and F3/31.

Fujibo Holdings: (1) F3/26 results put revenue at ¥45.9bn (+7% YoY; guidance ¥45.4bn) and OP at ¥8.14bn (+26%; ¥7.5bn). (2) F3/27 guidance is for revenue of ¥52.7bn (1H ¥26.0bn, 2H ¥26.7bn) and OP of ¥9.2bn (1H ¥4.4bn, 2H ¥4.8bn): Middle East risks are assumed to be a ¥0.5-0.6bn negative factor for OP.

Asahi Diamond Industrial: (1) F3/26 results showed revenue of ¥42.0bn (+2% YoY; guidance ¥42.0bn) and OP of ¥2.4bn (+4%; ¥2.42bn). (2) F3/27 guidance has revenue at ¥44.0bn (1H ¥21.0bn, 2H ¥23.0bn) and OP at ¥3.7bn (1H ¥1.2bn, 2H ¥2.5bn), marking growth of 5% YoY in revenue and 54% in OP: Mainly driving the earnings growth will be a ¥1.07bn decline in retirement benefit expenses. (3) ADI formulated a medium-term management plan targeting F3/31 revenue of ¥53.0bn, OP of ¥5.35bn, and ROE of 8% or higher.

ZACROS: (1) F3/26 results had revenue at ¥158.5bn (+5% YoY; guidance ¥158.0bn) and OP at ¥11.1bn (+9%; ¥10.8bn). (2) F3/27 guidance is for revenue of ¥176.0bn (+11% YoY) and OP of ¥11.2bn (+1% YoY), with a ¥0.9bn OP negative from Middle East risks assumed (price pass-throughs +¥12.5bn, impact from material prices, etc. -¥13.4bn). (3) Growth businesses are ABF, SUB, and overseas packaging and containers.

Coverage list

Code	Company	Rating	Price Target (JPY)	Share price (22-May-26)	Potential return (%)	Market cap (JPY mn)	Trading volume (JPY mn)	Operating Profit(JPY mn)		P/E (x)		P/B (x)		ROE (%)	
								FY25E	FY26E	FY25E	FY26E	FY25E	FY26E	FY25E	FY26E
1407	West Holdings	OW	2,600	2,891	-10.1	133,065	2,118	11,000	12,800	16.8	14.5	2.8	2.5	16.9	17.4
3104	Fujibo Holdings	OW	4,900	4,405	11.2	150,043	760	9,000	10,000	23.4	21.2	2.7	2.5	11.1	12.1
3110	NITTO BOSEKI	OW	33,000	25,310	30.4	954,769	91,133	30,000	40,000	41.3	30.8	5.0	4.5	12.2	14.5
4187	OSAKA ORGANIC CHEMICAL INDUSTRY	OW	5,300	5,230	1.3	117,204	820	6,800	7,800	22.7	19.8	2.0	1.9	8.9	9.5
4368	FUSO CHEMICAL	OW	4,500	4,185	7.5	445,841	2,410	23,000	29,000	27.2	21.6	3.3	2.9	12.3	13.5
4369	Tri Chemical Laboratories	OW	3,900	3,500	11.4	113,745	1,662	6,250	7,400	23.9	22.7	2.9	2.6	12.0	11.5
4626	TAIYO HOLDINGS	++	++	4,865		568,425	944								
4970	Toyo Gosei	OW	16,000	17,110	-6.5	139,333	1,290	5,600	7,500	34.8	26.5	4.5	3.9	12.9	14.6
4971	MEC	OW	10,000	10,730	-6.8	209,998	3,388	7,000	8,200	38.6	33.0	5.9	5.2	15.2	15.8
6055	JAPAN MATERIAL	EW	2,000	1,993	0.4	209,563	1,255	14,600	15,000	20.3	19.7	3.0	2.7	14.7	13.7
6140	Asahi Diamond Industrial	EW	1,300	1,362	-4.6	65,962	1,577	3,800	4,000	22.7	22.1	1.1	1.0	4.7	4.7
6289	GIKEN	EW	1,900	1,850	2.7	50,088	82	3,000	3,200	21.1	20.2	1.2	1.2	5.6	5.7
6315	TOWA	EW	2,600	2,893	-10.1	217,430	18,230	12,000	13,500	25.2	22.1	3.0	2.7	11.9	12.1
6516	SANYO DENKI	EW	7,300	7,090	3.0	275,918	933	15,200	17,400	22.1	19.4	1.9	1.8	8.4	9.1
6622	DAIHEN	OW	15,000	16,340	-8.2	406,920	3,260	23,200	27,000	25.4	21.3	2.5	2.3	9.7	10.6
6707	Sanken Electric	UW	6,000	9,291	-35.4	194,418	679	-1,000	600	121.7	33.6	1.6	1.5	1.3	4.4
6750	ELECOM	OW	2,000	1,665	20.1	153,549	234	16,400	18,000	10.7	9.7	1.2	1.1	10.9	11.1
6768	TAMURA	EW	900	951	-5.4	78,716	737	5,800	7,000	19.9	16.2	1.2	1.1	6.1	7.0
6832	AOI ELECTRONICS	EW	2,700	2,760	-2.2	33,120	34	100	870	206.1	46.1	0.7	0.7	0.4	1.6
6871	MICRONICS JAPAN	OW	14,000	15,180	-7.8	607,584	14,574	26,700	33,000	31.1	25.1	7.2	5.9	23.3	23.7
6890	Ferrotec	OW	7,700	8,930	-13.8	452,552	5,607	38,000	45,000	18.7	15.4	1.6	1.5	8.6	9.7
6905	COSEL	EW	1,300	1,399	-7.1	57,619	189	-820	1,590	2855.1	45.7	1.1	1.1	0.0	2.4
6966	Mitsui High-tec	OW	840	746	12.6	147,211	1,221	11,400	15,200	16.8	12.4	1.2	1.1	6.9	8.8
7729	TOKYO SEIMITSU	OW	18,000	16,915	6.4	715,215	5,301	40,000	45,000	23.6	21.0	3.3	3.0	14.1	14.4
7915	Nissha	EW	1,500	1,637	-8.4	78,602	350	6,300	7,000	22.8	18.5	0.7	0.6	2.9	3.5
7917	ZACROS	OW	1,800	1,260	42.9	97,110	128	11,000	12,100	12.9	11.8	0.8	0.8	6.3	6.5
9517	eREX	EW	1,000	884	13.1	69,095	302	9,500	10,000	13.3	13.0	1.0	0.9	7.4	7.1

Source: FactSet, Morgan Stanley Research, E = Morgan Stanley Research estimates. ++Currently, we refrain from disclosing our rating and price target for the company in accordance with industry laws, regulations, and/or the firm's internal policies.

Next Tech Monthly
June 23 (Tuesday)
(1) 9:00 – 10:00 (JST)
(2) 16:00 – 17:00 (JST)

Disclosure Section

The information and opinions in Morgan Stanley Research were prepared by Morgan Stanley MUFG Securities Co., Ltd. and its affiliates (collectively, "Morgan Stanley").

For important disclosures, stock price charts and equity rating histories regarding companies that are the subject of this report, please see the Morgan Stanley Research Disclosure Website at www.morganstanley.com/eqr/disclosures/webapp/generalresearch, or contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY, 10036 USA.

For valuation methodology and risks associated with any recommendation, rating or price target referenced in this research report, please contact the Client Support Team as follows: US/Canada +1 800 303-2495; Hong Kong +852 2848-5999; Latin America +1 718 754-5444 (U.S.); London +44 (0) 20-7425-8169; Singapore +65 6834-6860; Sydney +61 (0) 2-9770-1505; Tokyo +81 (0) 3-6836-9000. Alternatively you may contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY 10036 USA.

Analyst Certification

The following analysts hereby certify that their views about the companies and their securities discussed in this report are accurately expressed and that they have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report: Yoshihito Hasegawa.

Global Research Conflict Management Policy

Morgan Stanley Research has been published in accordance with our conflict management policy, which is available at www.morganstanley.com/institutional/research/conflict/policies. A Portuguese version of the policy can be found at www.morganstanley.com.br

Important Regulatory Disclosures on Subject Companies

As of April 30, 2026, Morgan Stanley beneficially owned 1% or more of a class of common equity securities of the following companies covered in Morgan Stanley Research: Asahi Diamond Industrial, Daihen, Ferrotec, Japan Material, MEC, Micronics Japan, Mitsui High-tec, Nissha, Nitto Boseki, Osaka Organic Chemical Industry, Sanken Electric, Taiyo Holdings, Tamura, Tokyo Seimitsu, Towa, Tri Chemical Laboratories.

Within the last 12 months, Morgan Stanley managed or co-managed a public offering (or 144A offering) of securities of Daihen, Nissha.

Within the last 12 months, Morgan Stanley has received compensation for investment banking services from Asahi Diamond Industrial, Daihen, Fujibo Holdings, Nissha, Sanken Electric.

In the next 3 months, Morgan Stanley expects to receive or intends to seek compensation for investment banking services from Aoi Electronics, Asahi Diamond Industrial, Daihen, Elecom, eREX, Ferrotec, Fujibo Holdings, Giken, Japan Material, MEC, Micronics Japan, Mitsui High-tec, Nissha, Nitto Boseki, Osaka Organic Chemical Industry, Sanken Electric, Sanyo Denki, Taiyo Holdings, Tamura, Tokyo Seimitsu, Towa, Toyo Gosei, Tri Chemical Laboratories, West Holdings, ZACROS.

Within the last 12 months, Morgan Stanley has provided or is providing investment banking services to, or has an investment banking client relationship with, the following company: Daihen, Elecom, Ferrotec, Fujibo Holdings, Nissha, Sanken Electric, West Holdings.

The equity research analysts or strategists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality of research, investor client feedback, stock picking, competitive factors, firm revenues and overall investment banking revenues. Equity Research analysts' or strategists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

Morgan Stanley and its affiliates do business that relates to companies/instruments covered in Morgan Stanley Research, including market making, providing liquidity, fund management, commercial banking, extension of credit, investment services and investment banking. Morgan Stanley sells to and buys from customers the securities/instruments of companies covered in Morgan Stanley Research on a principal basis. Morgan Stanley may have a position in the debt of the Company or instruments discussed in this report. Morgan Stanley trades or may trade as principal in the debt securities (or in related derivatives) that are the subject of the debt research report.

Certain disclosures listed above are also for compliance with applicable regulations in non-US jurisdictions.

STOCK RATINGS

Morgan Stanley uses a relative rating system using terms such as Overweight, Equal-weight, Not-Rated or Underweight (see definitions below). Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold and sell. Investors should carefully read the definitions of all ratings used in Morgan Stanley Research. In addition, since Morgan Stanley Research contains more complete information concerning the analyst's views, investors should carefully read Morgan Stanley Research, in its entirety, and not infer the contents from the rating alone. In any case, ratings (or research) should not be used or relied upon as investment advice. An investor's decision to buy or sell a stock should depend on individual circumstances (such as the investor's existing holdings) and other considerations.

Global Stock Ratings Distribution

(as of April 30, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1546	42%	467	51%	30%	709	44%
Equal-weight/Hold	1568	43%	358	39%	23%	715	44%
Not-Rated/Hold	4	0%	0	0%	0%	1	0%
Underweight/Sell	555	15%	84	9%	15%	202	12%
Total	3,673		909			1627	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Important Disclosures for Morgan Stanley Smith Barney LLC Customers

Important disclosures regarding any material conflict of interest that can reasonably be expected to have influenced Morgan Stanley Smith Barney LLC's choice of a third-party research provider or the subject company of a third-party research report, are available on the Morgan Stanley Wealth Management disclosure website at www.morganstanley.com/online/researchdisclosures. For Morgan Stanley specific disclosures, you may refer to <https://www.morganstanley.com/eqr/disclosures/webapp/generalre-search>.

Each Morgan Stanley research report is reviewed and approved on behalf of Morgan Stanley Smith Barney LLC. This review and approval is conducted by the same person who reviews the research report on behalf of Morgan Stanley. This could create a conflict of interest.

Other Important Disclosures

Morgan Stanley Research policy is to update research reports as and when the Research Analyst and Research Management deem appropriate, based on developments with the issuer, the sector, or the market that may have a material impact on the research views or opinions stated therein. In addition, certain Research publications are intended to be updated on a regular periodic basis (weekly/monthly/quarterly/annual) and will ordinarily be updated with that frequency, unless the Research Analyst and Research Management determine that a different publication schedule is appropriate based on current conditions.

Morgan Stanley is not acting as a municipal advisor and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of Section 975 of the Dodd-Frank Wall Street Reform and Consumer Protection Act. Morgan Stanley produces an equity research product called a "Tactical Idea." Views contained in a "Tactical Idea" on a particular stock may be contrary to the recommendations or views expressed in research on the same stock. This may be the result of differing time horizons, methodologies, market events, or other factors. For all research available on a particular stock, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Morgan Stanley Research is provided to our clients through our proprietary research portal on Matrix and also distributed electronically by Morgan Stanley to clients. Certain, but not all, Morgan Stanley Research products are also made available to clients through third-party vendors or redistributed to clients through alternate electronic means as a convenience. For access to all available Morgan Stanley Research, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>. Any access and/or use of Morgan Stanley Research is subject to Morgan Stanley's Terms of Use (<http://www.morganstanley.com/terms.html>). By accessing and/or using Morgan Stanley Research, you are indicating that you have read and agree to be bound by our Terms of Use (<http://www.morganstanley.com/terms.html>). In addition you consent to Morgan Stanley processing your personal data and using cookies in accordance with our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html), including for the purposes of setting your preferences and to collect readership data so that we can deliver better and more personalized service and products to you. To find out more information about how Morgan Stanley processes personal data, how we use cookies and how to reject cookies see our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html). Please use the provided link to review the Terms and Conditions and Most Important

Terms and Conditions for Morgan Stanley India Company Private Limited (https://www.morganstanley.com/assets/pdfs/about-us-global-offices/india/Terms_and_conditions.pdf) and the following link to review the audit report (https://ny.matrix.ms.com/eqr/research/webapp/researchdocs/MSICPL_Morgan_Stanley_Research_Audit_Report.pdf).

If you do not agree to our Terms of Use and/or if you do not wish to provide your consent to Morgan Stanley processing your personal data or using cookies please do not access our research.

Morgan Stanley Research does not provide individually tailored investment advice. Morgan Stanley Research has been prepared without regard to the circumstances and objectives of those who receive it. Morgan Stanley recommends that investors independently evaluate particular investments and strategies, and encourages investors to seek the advice of a financial adviser. The appropriateness of an investment or strategy will depend on an investor's circumstances and objectives. The securities, instruments, or strategies discussed in Morgan Stanley Research may not be suitable for all investors, and certain investors may not be eligible to purchase or participate in some or all of them. Morgan Stanley Research is not an offer to buy or sell or the solicitation of an offer to buy or sell any security/instrument or to participate in any particular trading strategy. The value of and income from your investments may vary because of changes in interest rates, foreign exchange rates, default rates, prepayment rates, securities/instruments prices, market indexes, operational or financial conditions of companies or other factors. There may be time limitations on the exercise of options or other rights in securities/instruments transactions. Past performance is not necessarily a guide to future performance. Estimates of future performance are based on assumptions that may not be realized. If provided, and unless otherwise stated, the closing price on the cover page is that of the primary exchange for the subject company's securities/instruments.

The fixed income research analysts, strategists or economists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality, accuracy and value of research, firm profitability or revenues (which include fixed income trading and capital markets profitability or revenues), client feedback and competitive factors. Fixed Income Research analysts', strategists' or economists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

The "Important Regulatory Disclosures on Subject Companies" section in Morgan Stanley Research lists all companies mentioned where Morgan Stanley owns 1% or more of a class of common equity securities of the companies. For all other companies mentioned in Morgan Stanley Research, Morgan Stanley may have an investment of less than 1% in securities/instruments or derivatives of securities/instruments of companies and may trade them in ways different from those discussed in Morgan Stanley Research. Employees of Morgan Stanley not involved in the preparation of Morgan Stanley Research may have investments in securities/instruments or derivatives of securities/instruments of companies mentioned and may trade them in ways different from those discussed in Morgan Stanley Research. Derivatives may be issued by Morgan Stanley or associated persons.

With the exception of information regarding Morgan Stanley, Morgan Stanley Research is based on public information. Morgan Stanley makes every effort to use reliable, comprehensive information, but we make no representation that it is accurate or complete. We have no obligation to tell you when opinions or information in Morgan Stanley Research change apart from when we intend to discontinue equity research coverage of a subject company. Facts and views presented in Morgan Stanley Research have not been reviewed by, and may not reflect information known to, professionals in other Morgan Stanley business areas, including investment banking personnel.

Morgan Stanley Research personnel may participate in company events such as site visits and are generally prohibited from accepting payment by the company of associated expenses unless pre-approved by authorized members of Research management. Morgan Stanley may make investment decisions that are inconsistent with the recommendations or views in this report.

To our readers based in Taiwan or trading in Taiwan securities/instruments: Information on securities/instruments that trade in Taiwan is distributed by Morgan Stanley Taiwan Limited ("MSTL"). Such information is for your reference only. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. Morgan Stanley Research may not be distributed to the public media or quoted or used by the public media without the express written consent of Morgan Stanley. Any non-customer reader within the scope of Article 7-1 of the Taiwan Stock Exchange Recommendation Regulations accessing and/or receiving Morgan Stanley Research is not permitted to provide Morgan Stanley Research to any third party (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities regarding Morgan Stanley Research which may create or give the appearance of creating a conflict of interest. Information on securities/instruments that do not trade in Taiwan is for informational purposes only and is not to be construed as a recommendation or a solicitation to trade in such securities/instruments. MSTL may not execute transactions for clients in these securities/instruments.

Morgan Stanley is not incorporated under PRC law and the research in relation to this report is conducted outside the PRC. Morgan Stanley Research does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC. PRC investors shall have the relevant qualifications to invest in such securities and shall be responsible for obtaining all relevant approvals, licenses, verifications and/or registrations from the relevant governmental authorities themselves. Neither this report nor any part of it is intended as, or shall constitute, provision of any consultancy or advisory service of securities investment as defined under PRC law. Such information is provided for your reference only.

Morgan Stanley Research is disseminated in Brazil by Morgan Stanley C.T.V.M. S.A. located at Av. Brigadeiro Faria Lima, 3600, 6th floor, São Paulo - SP, Brazil; and is regulated by the Comissão de Valores Mobiliários; in Mexico by Morgan Stanley México, Casa de Bolsa, S.A. de C.V. which is regulated by Comisión Nacional Bancaria y de Valores. Paseo de los Tamarindos 90, Torre 1, Col. Bosques de las Lomas Floor 29, 05120 Mexico City; in Japan by Morgan Stanley MUFG Securities Co., Ltd. and, for Commodities related research reports only, Morgan Stanley Capital Group Japan Co., Ltd; in Hong Kong by Morgan Stanley Asia Limited (which accepts responsibility for its contents) and by Morgan Stanley Bank Asia Limited; in Singapore by Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research) and by Morgan Stanley Bank Asia Limited, Singapore Branch (Registration number T14FC0118); in Australia to "wholesale clients" within the meaning of the Australian Corporations Act by Morgan Stanley Australia Limited A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents; in Australia to "wholesale clients" and "retail clients" within the meaning of the Australian Corporations Act by Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents; in Korea by Morgan Stanley & Co International plc, Seoul Branch; in India by Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ00024438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61810000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61810000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61810000 or Email: msic-compliance@morganstanley.com. Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts; in Canada by Morgan Stanley Canada Limited; in Germany and the European Economic Area where required by Morgan Stanley Europe S.E., authorised and regulated by Bundesanstalt fuer Finanzdienstleistungsaufsicht (BaFin) under the reference number 149169; in the US by Morgan Stanley & Co. LLC, which accepts responsibility for its contents. Morgan Stanley & Co. International plc, authorized by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority, disseminates in the UK research that it has prepared, and research which has been prepared by any of its affiliates, only to persons

who (i) are investment professionals falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the "Order"); (ii) are persons who are high net worth entities falling within Article 49(2)(a) to (d) of the Order; or (iii) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the Financial Services and Markets Act 2000, as amended) may otherwise lawfully be communicated or caused to be communicated. RMB Morgan Stanley Proprietary Limited is a member of the JSE Limited and A2X (Pty) Ltd. RMB Morgan Stanley Proprietary Limited is a joint venture owned equally by Morgan Stanley International Holdings Inc. and RMB Investment Advisory (Proprietary) Limited, which is wholly owned by FirstRand Limited. The information in Morgan Stanley Research is being disseminated by Morgan Stanley Saudi Arabia, regulated by the Capital Market Authority in the Kingdom of Saudi Arabia, and is directed at Sophisticated investors only.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (DIFC Branch), regulated by the Dubai Financial Services Authority (the DFSA) or by Morgan Stanley & Co. International plc (ADGM Branch), regulated by the Financial Services Regulatory Authority Abu Dhabi (the FSRA), and is directed at Professional Clients only, as defined by the DFSA or the FSRA, respectively. The financial products or financial services to which this research relates will only be made available to a customer who we are satisfied meets the regulatory criteria of a Professional Client. A distribution of the different MS Research ratings or recommendations, in percentage terms for Investments in each sector covered, is available upon request from your sales representative.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (QFC Branch), regulated by the Qatar Financial Centre Regulatory Authority (the QFCRA), and is directed at business customers and market counterparties only and is not intended for Retail Customers as defined by the QFCRA.

As required by the Capital Markets Board of Turkey, investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Investment advisory service is provided exclusively to persons based on their risk and income preferences by the authorized firms. Comments and recommendations stated here are general in nature. These opinions may not fit to your financial status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations.

The trademarks and service marks contained in Morgan Stanley Research are the property of their respective owners. Third-party data providers make no warranties or representations relating to the accuracy, completeness, or timeliness of the data they provide and shall not have liability for any damages relating to such data. The Global Industry Classification Standard (GICS) was developed by and is the exclusive property of MSCI and S&P.

Morgan Stanley Research, or any portion thereof may not be reprinted, sold or redistributed without the written consent of Morgan Stanley.

Indicators and trackers referenced in Morgan Stanley Research may not be used as, or treated as, a benchmark under Regulation EU 2016/1011, or any other similar framework.

The issuers and/or fixed income products recommended or discussed in certain fixed income research reports may not be continuously followed. Accordingly, investors should regard those fixed income research reports as providing stand-alone analysis and should not expect continuing analysis or additional reports relating to such issuers and/or individual fixed income products.

Morgan Stanley may hold, from time to time, material financial and commercial interests regarding the company subject to the Research report.

Registration granted by SEBI and certification from the National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Investment in securities market are subject to market risks. Read all the related documents carefully before investing.

INDUSTRY COVERAGE: Mid Small Cap/Manufacturer

COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/25/2026)
Yoshihito Hasegawa		
Aoi Electronics (6832.T)	E (07/30/2025)	¥2,706
Asahi Diamond Industrial (6140.T)	E (07/28/2025)	¥1,396
Cosel (6905.T)	E (07/30/2025)	¥1,461
Daihen (6622.T)	O (01/07/2026)	¥16,830
Elecom (6750.T)	O (01/24/2024)	¥1,668
eREX (9517.T)	E (04/04/2025)	¥848
Ferrotec (6890.T)	O (07/16/2025)	¥9,220
Fujibo Holdings (3104.T)	O (01/24/2024)	¥4,335
Fuso Chemical (4368.T)	O (07/28/2025)	¥4,550
Giken (6289.T)	E (01/24/2024)	¥1,814
Japan Material (6055.T)	E (01/24/2024)	¥2,124
MEC (4971.T)	O (03/11/2025)	¥11,150
Micronics Japan (6871.T)	O (01/24/2024)	¥15,330

Mitsui High-tec (6966.T)	O (01/24/2024)	¥762
Nissha (7915.T)	E (07/30/2025)	¥1,677
Nitto Boseki (3110.T)	O (08/12/2025)	¥27,560
Osaka Organic Chemical Industry (4187.T)	O (07/28/2025)	¥5,440
Sanken Electric (6707.T)	U (01/24/2024)	¥9,315
Sanyo Denki (6516.T)	E (02/02/2024)	¥7,070
Taiyo Holdings (4626.T)	++	¥4,890
Tamura (6768.T)	E (07/30/2025)	¥1,101
Tokyo Seimitsu (7729.T)	O (01/24/2024)	¥18,350
Towa (6315.T)	E (05/24/2024)	¥2,898
Toyo Gosei (4970.T)	O (08/07/2024)	¥17,790
Tri Chemical Laboratories (4369.T)	O (09/04/2025)	¥3,765
West Holdings (1407.T)	O (10/30/2024)	¥2,991
ZACROS (7917.T)	O (01/24/2024)	¥1,259

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.